MAHATMA GANDHI UNIVERSITY, KOTTAYAM
MGU-UGP BBA (HONOURS) REGULAR EXAMINATION MARCH 2025
SECOND SEMESTER
Core Course (CC) - MG2CCRBBA102 - BUSINESS ECONOMICS
(2024 ADMISION ONWARDS)
Duration: 2 Hours
Maximum Marks: 70

Remember(K), Understand(U), Apply(A), Analyse(An), Evaluate(E), Create(C), Skill(S), Interest(I) and Appreciation(Ap)
Students should attempt at least one question from each course outcome to enhance their overall outcome attainability.

Part A
Short Answer Questions(four to five sentences)

A choice between two options for each question, answer five short answer questions, one from each Pair

1a. Distinguish between supply and stock. [U] / [CO1]

| Stock | Supply |
|---|---|
| It implies the volume of a commodity which can be brought into the market for sale at short notice (i.e. 'Stock' is a potential supply) | It implies the quantity of a commodity which is actually brought into the market for sale. |
| The stock or inventories of a commodity include: a) unsold quantity of the previous period, b) excess of present production of the commodity over its present sale. | Market sale of the commodity is only a part of the total stock. |
| The stock of a commodity depends mainly upon: a) the production of the commodity b) the procurement price of the commodity, c) the storage and transport costs, etc | The supply of a commodity depends mainly upon the market price of that commodity. |
| The concept of 'stock' has no time dimension (i.e. we do not say: stock of any commodity per week or month, etc.) | The concept of 'supply' has a time dimension, (i.e. we usually say, the supply of a commodity per day, per week, per month, etc.) |
| In the case of highly perishable commodities, the 'stock' and 'supply' would almost be the same (since these items cannot be stored for a long period) | In the case of durable commodities, supply consists of only a part of the total stock. |
| The stock or inventories enable a firm to meet (temporary) an unexpected rise in market demand for the product or a sudden fall in its production | The supply or the actual market sale enables the firm to earn sales revenue. |
| The stock of any commodity helps in checking severe fluctuations of market price (say, a steep fall in the price of potatoes during a bumper crop, or a steep rise in its price during crop-failure) | The changes in quantity supplied during any particular period, however, depend on the fluctuations in the market price of that commodity. |

***Give 1 mark for each difference. Any three differences provide full mark***

1b. The demand for certain goods, like necessities, remains constant despite price increases. Explain why this happens. [U] / [CO1]

The demand for necessities remains relatively constant even when prices rise because these goods are essential for daily living, and consumers cannot easily reduce their consumption or find substitutes. This behavior is explained by the concept of price inelastic demand. ***- 1 mark***

Reasons for inelastic demand – ***2 marks***

1. Lack of Substitutes: Necessities often have few or no close substitutes (e.g., basic food items, medicines), so people continue to buy them even if prices increase.
2. Essential Nature: These goods are vital for survival or well-being. People prioritize spending on necessities over non-essentials.
3. Small Proportion of Income: Some necessities, like salt or soap, take up a small portion of a consumer's income. Even large percentage price increases do not significantly affect the budget, so buying patterns remain unchanged.

4. Habitual Consumption: People tend to consume necessities out of habit, and habits are not easily broken by price changes.

2a. A farmer hires two additional workers during the harvest season without buying extra land or tools. Is the farmer changing the level of production or the scale of production? Justify. [A] / [CO2]

The farmer is changing the level of production, not the scale of production. ***1 mark***

When any firm increases production by increasing the quantity of one factor input whereas the quantity of other factor inputs keeping constant; it increases the level of production. ***1 mark***

In this case, the farmer hires two more workers, which is a variable input, while the land and tools (fixed inputs) remain the same. ***0.5 mark***

This kind of change occurs in the short run, where the scale of production (which involves proportional changes in *all* inputs) remains unchanged*.* ***0.5 mark***

2b. Why does the average fixed cost always decline as output increases? Give a real- life example. [A] / [CO2]

The Average Fixed Cost (AFC) always declines as output increases because fixed costs remain constant regardless of the level of production, while they are spread over a larger number of units as output increases. ***2 marks***

Fixed costs (e.g., rent, machinery, salaries of permanent staff) do not change with the level of output.

AFC = Total Fixed Cost ÷ Quantity of Output

As output (denominator) increases, the same fixed cost is divided by a larger number, causing the average fixed cost to fall.

Any example - ***1 mark***

3a. Mention the condition for equilibrium of a firm under perfect competition. [K] / [CO3]

Under perfect competition, a firm reaches equilibrium when it is producing the right amount of goods to make the most profit possible. At this point, the money it earns from selling one more unit (marginal revenue) is equal to the cost of making that extra unit (marginal cost). **2 marks**

The two key conditions for equilibrium are: **0.5 marks each**

1. Marginal Cost (MC) = Marginal Revenue (MR)

    In perfect competition, MR = Price (P), since the firm is a price taker.

2. MC curve cuts MR from below

This ensures that producing additional units beyond the equilibrium point would increase cost more than revenue, confirming maximum profit.

3b. List and explain the different kinds of Monopoly with example for each. [K] / [CO3]

Mono means single while poly implies selling. Thus, monopoly is a form of market organization in which there is only one seller of the commodity. There are no close substitutes for the commodity sold by the seller.

Legal Monopoly, Voluntary Monopoly, Government Monopoly, Private Monopoly, Discriminating Monopoly – any three with explanation and suitable examples for each – ***3 marks***

4a. Differentiate between Real GDP and Nominal GDP. [U] / [CO4] ***1 mark for each difference***

| Real GDP | Nominal GDP |
|---|---|
| The total value of all goods and services produced, adjusted for price changes | The total value of all goods and services produced in a country using current prices. |
| Measures GDP after adjusting for inflation | Measures GDP without adjusting for inflation |
| Base year Prices | Current year Prices |
| Reflects actual growth by removing price effects | Usually higher due to price increases |
| Compare economic growth over different years. | Compare economic output within the same year |
| Easier to see real economic growth | Harder to analyse true growth due to price changes |

4b. What are the main components of National Income? [U] / [CO4]

GDP, GNP, NNP, NI, PI, DI, and PCI. - ***3 marks for explanation/ 1.5 marks for points***

5a. Explain the significance of advertisement elasticity in business decisions. [A] / [CO1]

Advertisement Elasticity of Demand (AED) measures how much the quantity demanded of a product changes in response to a change in advertising expenditure. SIGNIFICANCE - Helps in Budget Allocation, Optimizing Marketing Strategies, Forecasting Sales, Cost-Benefit Analysis, Competitive Advantage. ***Any three points with explanation – 3 marks***

5b. A company selling organic food products notices that as income levels rise in a region, the demand for its products increases significantly. Using the concept of income elasticity, explain why this happens. [A] / [CO1]

Organic food products are often considered normal or luxury goods, which means: - ***1.5 marks***
As people's income increases, they can afford to buy higher-quality, healthier, or premium items. Therefore, the demand increases significantly, showing a positive and high income elasticity of demand.

Reason – ***1.5 marks***

Organic products are more expensive than regular food, so people with higher incomes are more likely to buy them. Rising income allows consumers to prioritize health and wellness, leading to greater demand. Consumers may shift from basic goods to better alternatives as they become more financially secure.

**[5x3 = 15]**

Part B

Short Essay

A choice between two options for each question, answer three short essay questions, one from each Pair

6a. Why is managerial economics important for business decision-making. [U] / [CO1]

Managerial economics is crucial for business decision-making because it helps managers make informed, rational, and effective decisions based on systematic analysis.

Informed Decision-Making, Optimal Resource Allocation, Cost-Benefit Analysis, Strategic Planning, Risk Management, Long-Term Success – ***any 5 points with explanation 5 marks.***

6b. What is unitary elastic demand? Illustrate with a diagram. [U] / [CO1]

Unitary elastic demand refers to a situation where if the price of a good changes by a certain percentage, then the quantity demanded or supplied for those good changes by that same percentage. The price elasticity of demand (PED) = 1. ***- 2 marks***

Characteristics:

A 1% increase in price leads to a 1% decrease in quantity demanded, and vice versa.

Total expenditure (or total revenue) remains unchanged when price changes. – ***0.5 mark***

Example

If the price of a good increases from ₹100 to ₹110 (a 10% rise), and the quantity demanded decreases from 50 units to 45 units (a 10% fall), the demand is unitary elastic. – ***0.5 mark***

Diagram- ***2 marks for diagram***

7a. Describe how a perfectly competitive firm maximizes its profits, based on analysis of total revenue, total cost curves, and marginal cost curves. [U] / [CO3]

Using Total Revenue and Total Cost - ***2 marks***

A firm earns the most profit when the gap between total revenue (TR) and total cost (TC) is the biggest.

TR is a straight line going up (because price stays the same), and TC is a curve that first increases slowly, then faster.

The biggest vertical distance between TR and TC shows maximum profit.

Using Marginal Cost and Marginal Revenue - ***2 marks***

A firm finds maximum profit where marginal cost (MC) is equal to marginal revenue (MR).

Profit Condition - ***1 mark***

If the price is more than average total cost (ATC), the firm makes extra (supernormal) profit.

7b. Define oligopoly. Explain any four key features that distinguish it from other forms of market structures [U] / [CO3]

Definition of Oligopoly ***- 1 mark***

Features of Oligopoly with explanation ***- 4 marks – 1 mark each***

Few Sellers, Interdependence, Barriers to Entry, Non-Price Competition

8a. Discuss the economic structure of India and the role of its three major sectors. [U] / [CO4]

Introduction – Economic Structure - ***1 mark***

Three main sectors: Primary, Secondary, and Tertiary.

Primary Sector ***– 1 mark***

activities like farming, fishing, mining, and forestry. provides raw materials and employs a large part of the rural population.

Secondary Sector ***- 1 mark***

Covers manufacturing and construction. Converts raw materials into finished goods and supports industrial growth.

Tertiary Sector ***- 1 mark***

Includes services like banking, transport, education, and healthcare. It is the fastest-growing sector and contributes the most to India's GDP.

Conclusion – Role of Sectors ***- 1 mark***

All three sectors are interlinked and important for balanced growth. Government policies aim to develop all sectors for a strong economy.

8b. The share of the Indian agriculture sector to GDP is declining throughout the last 5 decades. Does this mean the sector is losing its importance? Justify your answer. [U] / [CO4]

Introduction – Declining Share in GDP- ***1 mark***

Yes, the percentage contribution of agriculture to GDP has been declining steadily due to faster growth of the industrial and service sectors.

No, It Is Not Losing Importance (Justification) ***- 3 marks – 1 mark each***
a. Largest Employer : Agriculture still employs over 40% of the population, especially in rural areas. It supports livelihoods directly and indirectly.

b. Food Security; It provides food for the nation, making it essential for survival and stability.

c. Raw Material Supply: Agriculture supports many industries (like textiles, food processing) by supplying raw materials.

Conclusion – Balanced View - ***1 mark***

- Although its GDP share is shrinking, agriculture remains economically and socially vital.
- Focus should be on modernizing and improving productivity in the sector. **[3x5 = 15]**

Part C

Long Essay

A choice between two options for each question, answer two Long essay questions, one from each pair

9a. Construct a hypothetical production schedule and calculate TP, AP and MP. Plot the corresponding curves and interpret the results. [A] / [CO2]

1. Introduction - ***2 marks***

Explain briefly: Total Product (TP): Total output produced by all units of input.; Average Product (AP): Output per unit of input (TP ÷ units of input); Marginal Product (MP): Additional output by adding one more unit of input (Change in TP).

2. Hypothetical Production Schedule ***- 6 marks***

| **Units of Labour (L)** | **Total Product (TP)** | **Average Product (AP = TP/L)** | **Marginal Product (MP = ΔTP)** |
|---|---|---|---|

3. Graphical Representation – ***6 marks***

Draw 3 curves on the same graph:

TP Curve: Rises, flattens, and then falls.

AP and MP Curves: MP rises, reaches a peak, then declines and becomes negative. And AP rises, peaks, and then falls, but MP cuts AP at its maximum point.

4. Interpretation of Results - **4 *marks***

Stage I: TP increases at increasing rate, MP rising. Efficient use of labour.

Stage II: TP increases at decreasing rate. MP and AP fall. Best stage for production—rational region of production.

Stage III: TP falls, MP becomes negative. Too many workers reduce efficiency.

5. Conclusion - ***2 marks***

The analysis shows how law of variable proportions works. It helps firms decide optimal number of labour units to maximize production and efficiency.

9b. Explain the Cobb-Douglas Production function with a suitable example. Also explain the factors of production using examples. [A] / [CO2]

1. Introduction to Production Function ***- 2 marks***

A production function shows the relationship between input and output. It tells us how much output can be produced using different combinations of inputs.

2. Cobb-Douglas Production Function – Meaning and formula***- 5 marks***

Q=A·La·Kb

3. Suitable Example with Calculation ***- 6 marks***

4. Characteristics of Cobb-Douglas Function - **2** ***marks***

Shows returns to scale depending on the values of a and b

5. Explanation of Four Factors of Production (with Examples)- ***4 marks – 1.5 each***

*Land, Labour, Capital, Entrepreneurship*

*6.*Conclusion – ***1 mark***

Cobb-Douglas function helps us understand the role of inputs in production. All four factors are essential and work together to create output.

10a. Define Economics and explain its importance in society. [U] / [CO1]

1. Definition of Economics ***- 4 marks***

Classical Definition – Adam Smith (Wealth-focused): *"Economics is the study of the nature and causes of the wealth of nations."*

Modern Definition – Lionel Robbins (Scarcity-focused): *"Economics is the science which studies human behaviour as a relationship between ends and scarce means which have alternative uses."*

Amartya Sen's View (Welfare and development): Economics is also about improving quality of life, reducing poverty, and achieving development.

2. Core Concepts in Economics ***- 4 marks***

Scarcity: Resources are limited, but human wants are unlimited. Choice: We must make choices on how to use scarce resources. Opportunity Cost: The next best alternative foregone when a choice is made. Allocation of Resources: Economics studies how to allocate resources efficiently.

3. Importance of Economics in Society ***- 10 marks – 2 marks each***

a. Helps in Optimal Use of Resources; b. Supports Government Policy Making; c. Promotes Economic Growth and Development; d. Helps in planning for industrial, agricultural, and service sector growth; e. Improves Standard of Living, Helps Understand Global Issues

4. Conclusion ***- 2 marks***

Economics is more than just money or markets—it is about human well-being, decision-making, and the functioning of the society. It helps individuals, businesses, and governments make informed, rational choices in daily life.

10b. "A consumer is willing to buy 5 kg of apples at ₹50 per kg but only 3 kg when the price rises to ₹70 per kg." (i) Define demand and explain the relationship between price and quantity demanded in this scenario. (ii) How does this situation reflect the Law of Demand? Support your answer with a demand schedule and diagram. (iii) Give two real-world examples where demand does not strictly follow the Law of Demand. [U] / [CO1]

(i) Definition of Demand & Price-Quantity Relationship with suitable example ***- 8 marks***
(ii) Law of Demand with Schedule & Diagram***- 8 marks***
(iii) Exceptions to the Law of Demand with two real world example ***- 4 marks***

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